

Why America's Inflation Problem Isn't Going Away

Podcast: prof G markets

AI Executive Summary

Core Thesis The episode explores a period of profound economic tension characterized by conflicting signals: while recent inflation data showed a promising decline to 3.5%, geopolitical instability in the Middle East—specifically the collapse of the U.S.-Iran ceasefire—threatens to reverse these gains through rising energy costs. Simultaneously, the financial sector is experiencing a robust earnings boom driven by a resurgence in capital markets activity and AI-related infrastructure financing, even as long-term concerns regarding "sticky" inflation, labor market softness, and potential stagflation persist.

Key Arguments & Data

- * **Inflation and Energy Volatility:** * June inflation fell to an annual rate of 3.5% (down from 4.2%), with a 0.4% month-over-month decrease—the largest one-month drop since April 2020. * This decline was largely driven by temporary lower energy prices; however, Brent Crude has rebounded to approximately \$85 per barrel following the end of the U.S.-Iran ceasefire and subsequent U.S. strikes on Iranian targets. * The U.S. currently faces the highest inflation rate in the G7, a phenomenon attributed to the lack of energy subsidies compared to Europe/Asia, causing oil price spikes to pass through immediately to U.S. consumers.
- * **Labor Market and Macroeconomic Risks:** * Despite lower headline numbers, "underlying" inflation remains uncomfortably high (estimated at 3–3.5%) relative to the Fed's 2% target. * The labor market is showing signs of significant "softness," characterized by increasing slack, low job creation (largely limited to the healthcare sector), and slowing wage growth. * There is an emerging risk of "stagflation"—stagnant growth paired with high inflation—driven by structural factors such as AI-related cost pressures, immigration policy, and geopolitical conflicts. * The Fed's stance remains hawkish; investors are currently anticipating the possibility of two quarter-point interest rate increases to maintain price stability.
- * **Banking Sector Performance:** * Major U.S. banks (including JPMorgan, Goldman Sachs, and Bank of America) reported "blowout" earnings driven by a resurgence in deal-making, high real interest rates, and resilient economic growth. * Investment banking fees grew between 30% and 55% year-over-year, supported by high M&A activity and significant IPOs, such

as the SpaceX offering. * Equities trading surged by 45% to 90% year-over-year, fueled by increased market volatility. * The AI infrastructure buildout is acting as a "multiplier" for banks through increased demand for debt issuance, lending, and wealth management opportunities for newly minted billionaires.

Actionable Takeaways

- * **Monitor Geopolitical Triggers:** Investors should closely track developments in the Strait of Hormuz and Middle East stability, as any disruption to oil flows is likely to trigger a resurgence in inflation and upward pressure on interest rates.
- * **Watch for "Sticky" Inflationary Drivers:** Do not assume a return to 2% inflation is imminent; structural shifts—including AI integration, immigration trends, and reduced market competition—suggest that inflation may remain elevated for years.
- * **Assess Banking Sector Vulnerabilities:** While bank earnings are currently strong, keep a close eye on "deposit cost pressure" and rising funding costs, as these could erode net interest margins and derail the positive trend in the financial sector.
- * **Prepare for AI-Driven Restructuring:** As seen in the banking and tech sectors (e.g., JPMorgan and Block), companies are increasingly using AI to drive efficiency, which may lead to significant organizational restructuring and permanent shifts in headcount requirements.

Full Transcript

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And finally, IBM plunged 25% after pre-announcing earnings that missed expectations. It was its worst day of all time. Okay, what else is happening? Inflation cooled to an annual rate of 3.5% in June, which was lower than economists had predicted. Consumer prices fell 0.4% between May and June. That was the largest one month decrease since April 2020. Much of

that drop was driven by lower energy prices after the U.S.-Iran ceasefire eased fears of supply disruptions, but that relief may be short-lived. Last week, of course, President Trump declared the ceasefire over, and yesterday the U.S. launched a new round of strikes on Iranian targets. Brent Crude has since climbed back to around 85 a barrel, raising the prospect that energy prices and inflation could move higher again.

So joining us to discuss this inflation report, we are speaking with Mark Zandy, chief economist at Moody's Analytics. Mark, great to see you. Thank you for joining us on the show. Inflation came down. We were at 4.2, which was really high. We're now down to 3.5, still pretty high, but lower than expected. I think the bigger question, though, is how much of that was because oil prices went lower in June. And I ask that because oil prices are, of course, rising again, which makes me think maybe this is not here to stay. Yeah, it's odd when you said inflation is easing to 3.5%. It is easing, it's down, but it's still awfully high, uncomfortably high. As everyone knows, the Fed's target is 2% inflation. That's kind of what we take as being a comfortable rate of inflation.

And I think under what I'll call underlying inflation, kind of abstracting from all the vagaries of the data. And by the way, in this report, there was a lot of noise. I don't know if you noticed, but it was a very noisy report and, you know, a lot of anomalies in the data. And I'm not sure how much to read into it, but, you know, abstracting from that, I think underlying inflation is kind of three to three and a half percent somewhere in there. Again, uncomfortably high. And that's abstracting from the swings in energy prices related to the war, which obviously added a lot to inflation coming into the war back in the spring early summer and is now detracting from inflation. But abstracting from that, we're at a very high uncomfortable level of inflation. And this is after a number of years of very high inflation. In fact, the inflation has been above the Fed's target for five years.

you know, the cost of living is, is extraordinarily high. It reflects, you know, the cumulative effect of those, those high rates of inflation. And I think people just are feeling very uncomfortable with that. And hopefully the Ron work moves in the wrong right direction here and begins to abate. But as you point out that that's now a new risk. I think the, the big question is, is

this going to be the trend? Will we keep seeing the number go down? And that's what I'm trying to understand from this report. Does this tell us that inflation is now headed in the right direction, specifically down? Or is this a blip? Because what we know about last month is that, you know, specifically when we look at the energy markets, people seem to think the war was over. Now here we are in July, prices are going back up. People seem to think, no, it's not because the president told us as much.

I mean, obviously a lot depends on what the president does or doesn't do and whether the straight reopens and we get oil flowing through or not. I mean, I think there's no way to know for sure, obviously given the ups and downs and all the rounds here. I think the most likely scenario is that the incentives here for the president and the Iranian regime to figure this out and open up the straight over time and get oil flowing, get oil prices down are pretty high and that they will figure that out. Obviously, I say that with no confidence. This can go in a boatload of directions. If we just assume I'm right, all prices come down and inflation continues to come in, it'll take time. It's not going to come in fast. It's going to be sticky. I think that there's a lot of other things going on here. Artificial intelligence is juicing up inflation. The immigration policy is juicing up inflation. There's just a lot of slew of things going on that suggest that while inflation will come in, assuming that Ron Ward sticks roughly to script, it's not going to come in fast. It's going to come in slow and sticky. And it might not be a couple, three years before we get back to anything we all feel comfortable with. Do you expect that three and a half will it'll go up from three and a half over the next few months? It'll go down. I mean, what directionally, where do you think we're headed? I think we're directionally lower again, assuming that, you know, the Ron Ward doesn't.

go off the rails here in oil prices stay where they roughly where they are, let's say 80, 85 bucks a barrel. Then I do think we will see it come in. Because the other thing to consider on inflation that's really fundamental is the job market. goes to wages and cost of labor. And that is the single most important driving force of inflation. And right now the labor market is soft. We saw that in the last jobs report. We're not creating a whole lot of jobs and there's a lot of slack in the labor market that's continuing to increase.

That's putting downward pressure on wages. Wage growth is below the rate of inflation and slowing across all different wage groups.

you should ultimately drive the rate of inflation lower. But again, that's a process that takes time. That doesn't happen in a month or two or three. That happens in a year, two or three. Just looking at the US inflation rate compared to other nations, we currently have the highest inflation rate in the G7, which is quite interesting because it seemed as though we were kind of the most sheltered from what was happening to oil prices as a result of the Iran war. But now I guess that's not really the case. I mean, what do you make of the fact that we're actually in a worse spot now than many of our peers? Yeah, I think that goes to the fact that most other countries provide subsidies or regulate the price of energy. They don't let it pass through.

The Europeans don't let it pass through. Some countries do, some Asian countries, but most don't. The U.S. is very different in that the, as soon as oil prices go up, our cost of gasoline, diesel, jet fuel goes immediately up. Now there's problems with that. And that is, we're all struggling with lower purchasing power. Real incomes are declining and it's hurting the economy. But the benefit of that is that we adjust a lot more quickly. pull back on our driving, we fly less, we become more efficient in the use of trucks that deliver packages to our door. The rest of the world, there will ultimately be a pass through, but it just takes a long, a much longer period of time for that to occur. The other thing that might be going on to help explain, and this is a little more problematic is, Lack of competition, competition in different industries has eroded over time. Increasing number of industries are dominated by a few companies that can set prices more significantly or are able to hope.

they're pricing for longer in the face of weakening demand or slower costs of doing business. And so that lack of competition, which is I think occurred over the years and become more pronounced now, maybe may be also playing a role in the higher rates of inflation that we're seeing here and the fact that maybe why inflation, the reason why inflation might be more sticky here because businesses are under less pressure to cut prices because of the lack of competition or the less lessening of competition. Kevin Warsh, New Fed chair spoke to Congress. He said the CPI drop does not

mean, quote, mission accomplished on inflation. It seems to be a lot more hawkish than people expected. I mean, what do you make of his statements? What do you think this means for interest rates going forward? Yeah, I've been surprised at how, as you say, hawkish he has been, you know, going back to the FOMC meeting, the policymaking committee meeting, he used the words price stability several times. And he convinced investors that he's serious about that if you look at inflation expectations.

and bond investors think inflation will be in the future, they came back down and back to where they were prior to the Iran war. And so they're convinced that he's going to work hard to keep inflation down. That's his primary focus. And I take a great deal of solace in that because six months ago when we were having these conversations, I was much worried about the Fed's independence and that whoever the Fed chair was going to be could buckle under the weight of the pressure from the president who says he wants lower interest rates. But I feel less worried about that. We'll have to see. Obviously, we'll have to see how this plays out. And there's a lot to be learned. But so far, so good. And I think that feels very good. Now, it does mean the potential for higher rates. I mean, markets are now anticipating. Last I looked, might come in today with these better inflation numbers. But last I looked, two rate increases, quarter point each time.

And so the investors are expecting that that hawkish rhetoric will translate into higher interest rates. And the one of the side effects of more hawkish Fed chairs, you're gonna have higher rates for longer. But I think ultimately the key thing here is Fed independence. And I feel much better about that in the wake of all the things that Kevin Warsh has done since he's been appointed. Do you have a view on... on the Pulse for Interest rates for the year ahead. I mean, this seems to be like the biggest question for investors, will rates go up or down or will they stay flat? And people have been debating this since the beginning of the year. Everyone seemed to agree that we're going to come down heading into the year. That's changed now. Do you have a view on that debate? Yeah. Of course, Ed, I've got lots of views.

Yeah, even on the World Cup, I got a view. Or will the Phillies win the World Series? Yeah, I got a view. It's a bit outside of consensus. I don't think the Fed's going to raise or lower rates. I think policy will remain

unchanged because I do think they have two mandates. One is low and stable inflation, and that's what we've been focused on. That would call for higher rates. But the other mandate is full employment. And there the job market, in my humble opinion, is soft. It's weak. I mean, we're not creating any jobs. All the jobs we're creating is in the healthcare sector. It's very narrow. If you lose your job, you're in big trouble because you can't get hired back. Hiring rates are very low. The share of the unemployed there, unemployed for long periods of time is now rising and very high. Wage growth is very weak. And so I worry that There's slack in the labor market. You don't see in the unemployment rate because labor forces is collapsing. People are leaving the labor force and you know, if the labor force participation rate had just remained unchanged over the past year, the unemployment rate would be 5%. And we'd all be talking very differently if it was 5%. And so I think the job market is very soft. And I think ultimately that will convince the committee not to raise rate, but you know, Like many things, like which ways this war is going to go, I say this with low levels of confidence because, you know, obviously there's a lot of uncertainty here. Right. It seems like the question is, as usual, which one is more of a problem. I think I tend to err on the side of the inflation problem is more of a problem because I'm personally very worried about what we're seeing in terms of the Iran situation. But I take your point and you said this Recently in the social media, you said that the commentary on the employment report for June was, quote, much too dismissive of how weak the numbers looked. And so I guess we find ourselves in the same position that the Fed always finds itself in, which is you got to choose. Well, although they're pushed into this really bad place, right? I mean, because of policy, I mean, because of the terrorists, because of immigration, because of the war.

that leads to weaker growth and higher inflation. That's stagflation. This is a stagflation environment. And what do you do with that at the Fed? Do you focus on inflation or do you focus on growth? And it's a very tough spot to be in and that's the situation that they're in. My sense is they punt and they say, I can't figure out which one to focus on. I'm not changing rates, but I hear you. I mean, you know, at the end of the day, push comes to shove, they've got to focus on inflation. Now, I think the deciding factor ultimately on that will be inflation expectations. If inflation expectations stay down, then they may be able to get away without raising rates because the

inflation should come in. If inflation expectations start to rise, say, you know, right now inflation expectations are based on the expectation the Fed's going to actually raise rates. Now, let's say that we, they say, okay, we're not, they're not raising rates.

So inflation expectations start to rise. Therefore, they got to raise raise. I mean, I know that's mind-numbing, but that's the way this all works. It does make your head spin. Yeah, it's like a ball of mirrors. Yeah. All right. Mark Zandi, chief economist at Moody's Analytics. Mark, appreciate your time. Thank you. Thank you. After the break, Wall Street banks make a killing again. And for even more market insights, you can subscribe to my weekly newsletter simplypert at simplypert.proffgmedia.com. Join us for the next episode of DNV's Maritime Impact Podcast. This time I speak with DNV's shore power expert, Hilda Birsta, about how shore power is shifting from a local emission solution to a strategic priority for ship owners. What are the biggest barriers to adoption and what needs to happen next?

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J.P. Morgan beat on the top and bottom lines with CEO Jamie Dimon announcing record revenues across every major business. Goldman Sachs posted one of its strongest quarters in history with profits up nearly 80% year-over-year. And Bank of America, Wells Fargo and Citigroup all topped expectations as well. Driving those results was a revival in deal-making, including 500 million in fees from the largest IPO of all time, SpaceX. But investors didn't reward the banks equally. Goldman popped nearly 9% on the news. J.P. Morgan and Bank of America both rose about 2% while Wells Fargo and Citigroup fell 2.5% respectively. Here to tell us what Wall Street's blowout quarter means for the markets and for the economy. We are speaking with Saul Martinez, head of US Financials Research at HSBC. Saul, thanks for joining us on Prodigy Markets. Blowout earnings across the board, according to Jamie Dimon, it's, quote, getting close to as good as it gets for JP Morgan and for basically everyone. Why is it such a good time to be a bank right now?

Right now you have, you know, almost a perfect storm of good economic backdrop, the resilient economy, high real rates, which is positive for the net interest margins of banks. And you're seeing a resurgence of deal-making activity, asset prices are going higher. So you have a backdrop that is supportive of a wide, wide range of businesses, everything from traditional banking, which is benefiting from good loan growth, good net interest income growth, good net interest margins. But what was exceptional, I guess was most exceptional, I think, about the results this quarter were the capital markets businesses. Dealmaking is back in spades. So this quarter investment banking fees for the five companies you highlighted grew anywhere from 30 to 55% year on year and it's a cross product. IPO activity which has been historically low has rebounded and at the same time M&A activity has been strong.

debt issuance is historically elevated. And then on top of that, what may have surprised more than that is on the trading side. So banks intermediate trades, they finance institutional investors. And those businesses are also booming, especially equities, which was up for those banks anywhere from 45 to 90% year on year. And so it's almost the perfect storm where traditional banking capital markets businesses are doing well and it's reflective of a good economic backdrop with higher rates than we've had in

the past and a lot of deal making activity going on. So just to go through some of these things that are going right, you've got the loan growth, you've got the phenomenal equities trading, which I mean, it basically sounds like the clients, investors are trading stocks more than double than they were in some cases or sorry, close to double.

what they were trading from a year ago. So that's booming and I assume a lot of that is the volatility that's happening in the markets that often increases trading. M&A, the deal-making, and then of course the IPOs, the most significant of which was SpaceX, which all five of these banks were underwriters of. My question, how important was that SpaceX IPO to these earnings and how important will these future IPOs, namely open AI and Anthropic B to these earnings as well, or are they less important? Well, I mean, if you look at them in isolation, they're not huge numbers relative to the total revenue numbers. We don't know the exact fees collected by each individual bank, but it helps the equity capital markets business, but that's a pretty small proportion of the overall revenue stream. Now, no, don't go me wrong. You've seen IPO activity more broadly rebound and that is helping investment banking fees generally. And you do have additional IPOs, large IPOs that could be coming, which provide an additional tailwind possibly later this year and into early next year. So it's helpful. It's not the biggest driver. That said, there are other There's a sort of a multiplier effect also from some of these transactions. You know, you mint a lot of billionaires, for example, with something like SpaceX and that provides opportunities for your wealth management business. There are trading opportunities around that. There's going to be index rebalances around, you know, SpaceX, which...

forces investors to reposition their portfolio. So your market making activity increases. So looking at the IPO fees and the investment banking fees in isolation on these deals probably tells you only part of the story. There's sort of a multiplier effect on a lot of these transactions, whether they're IPOs or... you know, M&A transactions as well, where you have a lot of that same phenomenon going on where it helps you in multiple of your capital markets businesses. So you're seeing that multiplier effect really take hold right now. It might be a crude way to put it, but when stuff happens in the capital markets, that's a good thing for banks. One of the

things that is happening that David Solomon pointed out was the AI infrastructure buildout, which has been a boon for the company, he pointed out all of these data centers that are being built and financed. And that's kind of interesting because you could understand why NVIDIA would be a winner of the AI build out. You wouldn't immediately think of Wall Street. Why have they benefited from this build out? Is this sort of a similar answer to the prior answer? There's sort of a multiplier dynamic, right? You think about AI, there's sort of the first order.

or first magnitude is on the financing side. So you have banks lending more, you have more debt issuance, you have more debt capital markets issuance, you have sort of an economic multiplier effect. It's not just the AI infrastructure companies, it's also the energy companies and other firms that benefit from that. And there's financing, there's lending, there's... There's debt issuance, there are opportunities to lend and then distribute them to some of those products for your wealth management clients. And on top of that, now you have IPO activity going. So there's a tailwind there. You have wealth management opportunities for folks who are newly minted billionaires. So again, think about banks. provide a store of value with wealth management products and deposits, when there's a lot of value creation, all of those things benefit. And I think with the AI build out, it flows back into banks, whether they're investment banks or traditional banks in numerous ways. Jamie Diamonds, he said.

that this is as good as it gets. He later followed that coming up with a slightly more cautious statement. He said, quote, we just don't know how long it's going to last. What could end or run out for these banks? What should they be worried about at this point? It is hard to envision continued growth off of the base we're on. And I think that it could be a headwind for eventually be a headwind for some of these companies and for the stocks to continue to do well. I think the other thing I would just mention is a little bit more mundane and you saw it with Wells Fargo. We talked about loan growth being good, that is driving net interest income, which for traditional banks this is the biggest revenue item. But if you start to see deposit cost pressure, higher funding costs, we have now of a one rate hike.

built into the forward curve, banks are growing, there's a little bit more competition. If that starts to eat away at the net interest income growth in the second half of the year and the next year, that's also something that could derail the positive thesis. And again, you kind of saw that with Wells Fargo today because that was one of the concerns that people had was funding costs and what it meant, what it means for net interest income growth. Just one final question before we let you go. Jamie Dimon had some interesting things to say about JP Morgan's use of AI. He said that in some discrete areas, AI had been used to, quote, reduce jobs by 30 or 40%. He then sort of amended that he said that those employees were offered jobs elsewhere. But the net net is he's saying AI is reducing their reliance on people in certain areas. I'd be interested to get your reactions to those comments and also this idea that AI could be used on Wall Street to One, replace people and two, increase profits. It's a fair question. And I think that was in response to a question I asked of Jamie about AI. Look, I think banks are in the early innings of their adopting use cases for AI. I think they're generally been focused on efficiency enhancements and cyber risks and fraud.

But I mean, the AI tools are advancing so rapidly that I think companies generally, not just banks have to look at whether existing organizational structures make sense and what the right way to be organized and what the right headcount levels are. I mean, you saw in late February block, and I know the blocks are very different than in JP Morgan, but they cut 40% of their headcount. basically arguing that given the advancements of AI tools, the way they're organized should be very different. And I think as banks look at their organizational structures and their headcounts, there is a possibility that in some cases, there could be... There could be changes in how headcounts are constituted and what the right, and I think companies generally in banks specifically will have to think about what the right way to be organized is and how many employees they need. That's not to say you're gonna see massive headcount reductions, but it is something that I think all companies will have to...

deal with. And this is also a very politically sensitive topic, right? AI just generally speaking. So I do think management teams will have to think about how they frame these discussions and what the right level is and how

they communicate that. But it is potentially something that could really enhance efficiency. but exactly how it plays out in terms of organizational structure, right levels of personnel, right levels of personnel in which groups of the business, that is all going to have to play out over time. I think one final thing here Ed that I'd mention is that Jamie does argue that this will all get competed away. I think that's his argument that some of the benefits will, in a competitive sector will get competed away. And I agree with that to a point because, I do think in a competitive market that happens, but excess returns can last a long time. And, you know, those who are first movers could have, you know, significant advantages here. All right. Sol Martini is head of U.S. Financials Research at HSBC. Sol, we appreciate your time. Anytime. As we wrap up, a quick word on the CPI report that we just discussed with Mark. First things first, let's recognize this is good news.

I would never come on here and celebrate higher inflation just to say I told you so. Inflation is the fuel of the affordability crisis. It is the difference between eating and going hungry for millions of Americans. So anytime the number goes down, that is a good thing. And no, I don't think that the BLS is lying. Having said that, it would be premature to celebrate this. Because while the number did go down, What we also know is that the reason it went down is because last month oil prices went down as investors anticipated a swift end to the Iran war, which as of this week has officially been proven very wrong. The memorandum of understanding is over. According to the president, ceasefire is over. The Strait of Hormuz is blocked once again. And lo and behold, here we are in July and oil prices are again rising.

We're now up to 85 a barrel. That is up 20% from the prices we experienced in June, the prices which were of course reflected in that CPI report that we're now all expected to celebrate. So no, this isn't a great report. It's good insofar as it's a temporary sigh of relief, but it's bad insofar as it is a temporary sigh of relief. This is most likely a blip. in the long story of the Iran war, the war that many had said was coming to an end, but that many must now admit is only just beginning. On a brighter but unrelated note, I will end this show with one final message. It's coming home. OK, that's it

for today. This episode was produced by Clare Miller and Alison Weiss and engineered by Benjamin Spencer.

Our video editor is Brad Williams. Our research team is Dan Shalon, Kristen O'Donohue, and Mia Silverio. And our social producer is Jake McPherson. Thank you for listening to ProfG Markets from ProfG Media. If you liked what you heard, give us a follow. I'm Ed Elson. I will see you tomorrow.